start[TOWN OF PORTOLA VALLEY MEASURE N 7
TOWN ATTORNEY'S IMPARTIAL ANALYSIS

The Portola Valley Town Council placed Measure N on the ballot to ask Portola Valley voters to 13
approve both a Town Charter and a tax on the sale of real property ("RPTT"). 15

California law recognizes two types of towns—general law towns and charter towns. Portola
Valley is currently a general law town with powers granted to it by the California Constitution > 29
and other state laws. Its acts must be consistent with state law. 12

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In contrast, the California Constitution authorizes charter towns and cities to adopt local rules 14
regarding "municipal affairs" that are different from state law, sometimes called "home rule" 13
authority. A charter town's charter explains which municipal affairs are within the town's home 14
rule authority. Charter towns must still comply with state law regarding matters of "statewide 14
concern." 1

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The proposed Portola Valley Charter ("Charter") would make Portola Valley a charter town and 12
authorize the Town Council to exercise home rule authority over municipal affairs relating to 14
local taxes, including the RPTT. The Charter itself would not change existing local laws, like the 16
Municipal Code. The Town would otherwise be subject to and governed by the general laws of 16
the State, unless the voters amended the Charter. 8

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Measure N would also authorize the Town to enact an RPTT that exceeds the rate authorized by 17
state law for general law towns. The Town currently imposes a tax on the transfer of real 17
property at the rate of twenty-seven and one-half cents ($0.275) per five-hundred dollars ($500) 14
of the sales price of property, which is the maximum tax rate permitted under state law for 17
general law towns. Charter towns may increase the RPTT tax rate. 11

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Measure N would authorize the Town to levy the RPTT at the rate of ten dollars ($10) per one 19
thousand dollars ($1,000) of consideration paid for real property. The RPTT only applies to the 15
transfer of real property for consideration. For example, the RPTT would generally not apply to 15
property that is solely transferred by inheritance. In addition, the RPTT would not apply to 15
transactions that qualify under one of the enumerated exemptions. The buyer and seller can 14
negotiate responsibility for payment of the RPTT. 7

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The Measure authorizes the Town Council to reduce or eliminate the RPTT rate and to provide 16
additional exemptions without a vote of the people, but it does not permit the Town Council to 17
raise the RPTT above the authorized rate without additional voter approval. 11

The RPTT would be a general tax because the revenue would be deposited into the Town's 16
general fund and could be used for any legitimate Town purpose. If approved, the Measure 16
would generate approximately $2 million of additional revenue annually. 9

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A "Yes" vote is a vote to adopt the Charter and authorize the RPTT. A "No" vote is a vote against 21
the Charter and RPTT. Measure N would be approved if it received a simple majority of "Yes" 17
votes. 1

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Catherine Engberg 2
Town Attorney, Town of Portola Valley]end 3

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Total: 472